



ILLUSTRATIONS BY **RAJ VERMA**

funds (FoFs), children's plans, retirement schemes, and even global multi-asset products now work like hybrids, without being officially classified as such.

"Hybrid-like products have mushroomed," says Shaili Shah (CFA), Chief Growth Officer at Sky PI Financial Services. "Many FoFs and goal-based schemes behave just like hybrids, but they fall outside the seven Sebi-defined categories." She warns that while innovation offers more choice, it also increases confusion. For instance, a children's or retirement fund can have multiple plans—conservative, aggressive, fixed allocation, or dynamic—which could make it tricky to understand. "It's not the label but the underlying allocation that defines risk," she adds. Shah is clear about suitability too: "When the time

to the goal is long, say seven to ten years, equities alone make more sense. But for three to five years, hybrid funds or hybrid strategies offer a better balance between risk and reward."

THE STATIC AND THE DYNAMIC

The heart of hybrid investing is the allocation engine, the way the fund shifts between equity and debt.

Static hybrids keep fixed ratios: an aggressive hybrid may maintain a 70:30 split between equity and debt, while a conservative one can flip that ratio. Predictability is their virtue, though they may miss opportunities in a volatile market.

Within hybrids, the most prominent ones are the